



MICROECONOMICS

COST

Chapter 6 | Lecture 1

$$\text{Cost} = \underline{\underline{\text{Lagat}}}$$

Production function

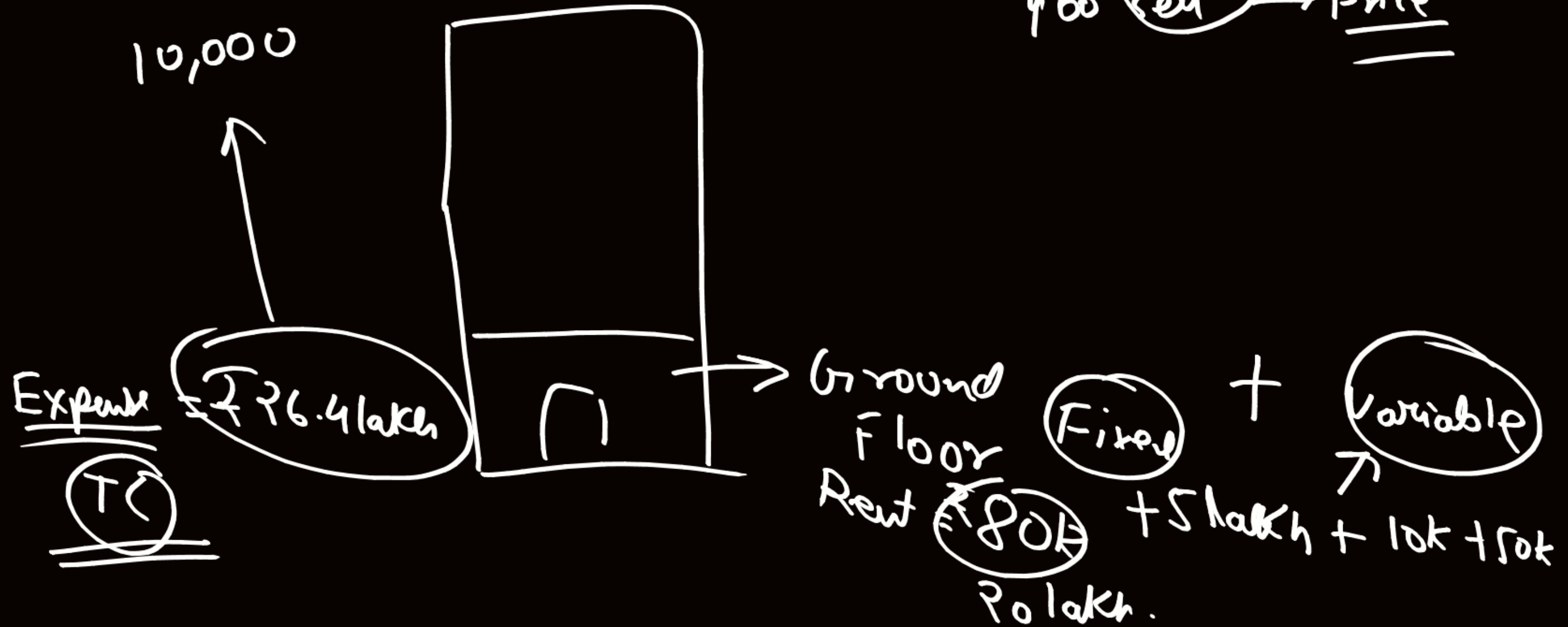
Cost



$$= \frac{26,40,000}{10,000}$$

$$= \text{1 unit cost} = \text{₹ 264}$$

↓
400 sell → price



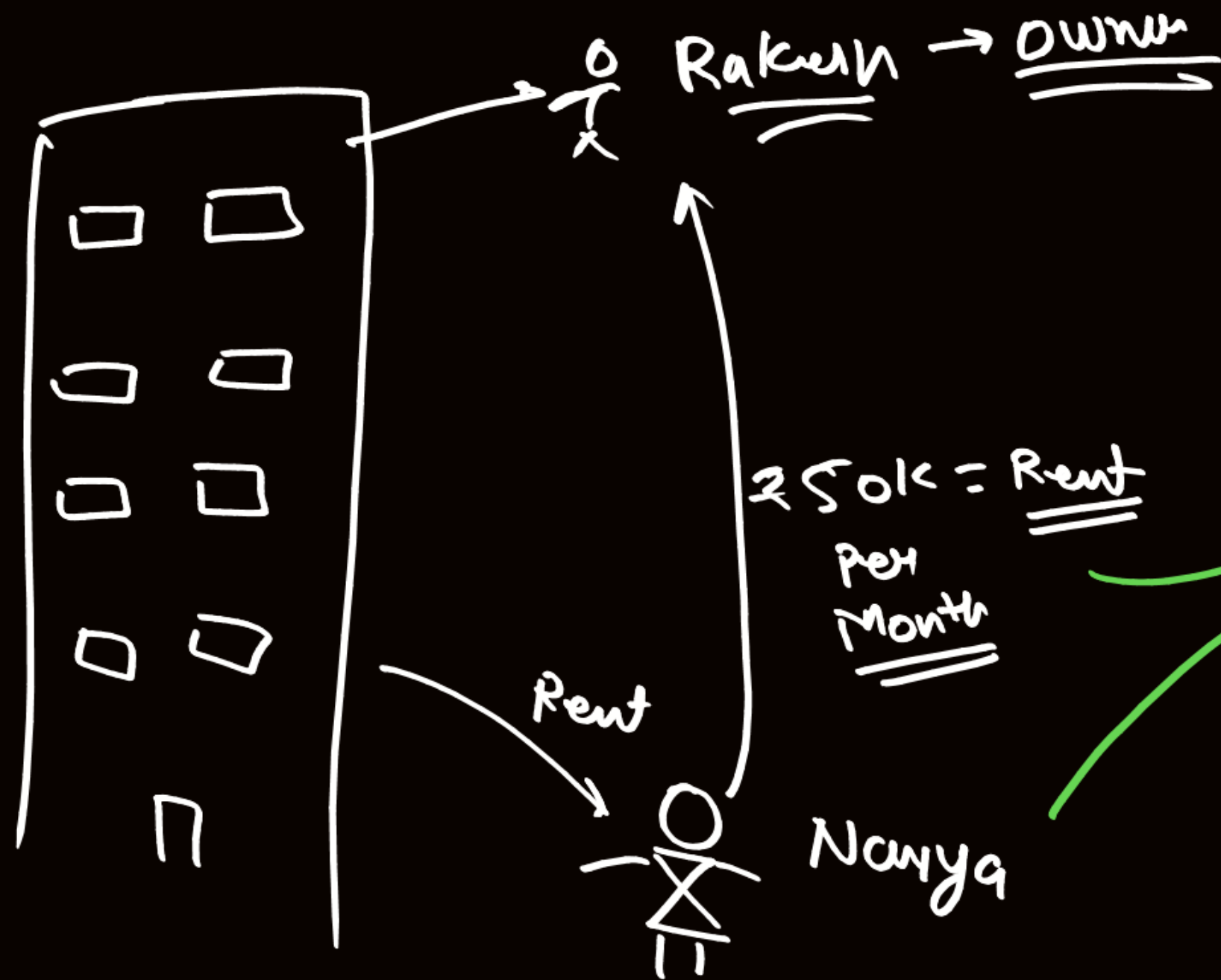
MEANING OF COST

Cost in economics includes actual expenditure on inputs (i.e. explicit cost) and the imputed value of the inputs supplied by the owners (i.e. implicit cost).

① Explicit cost = Money
② Implicit cost = Money^x



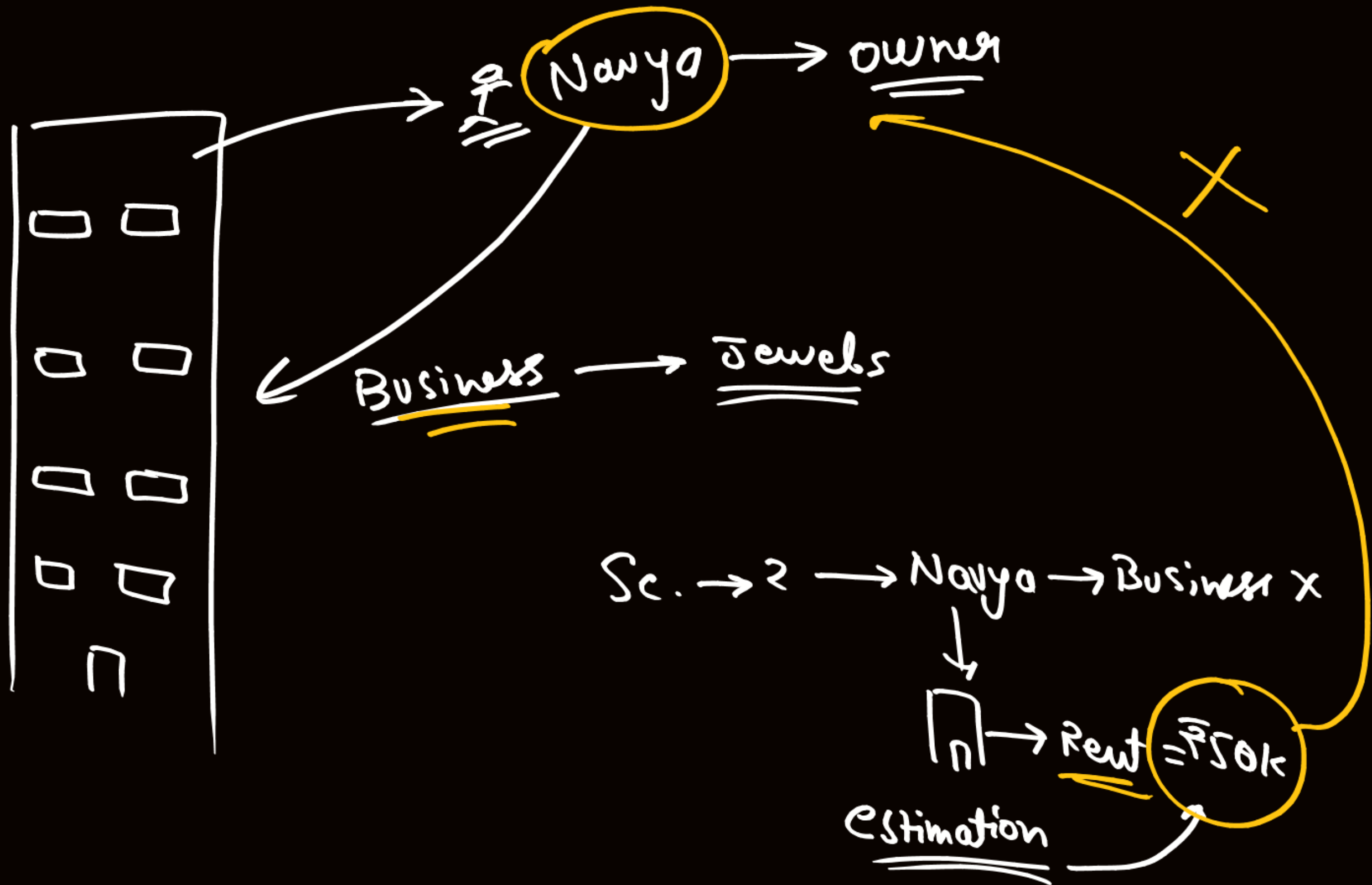
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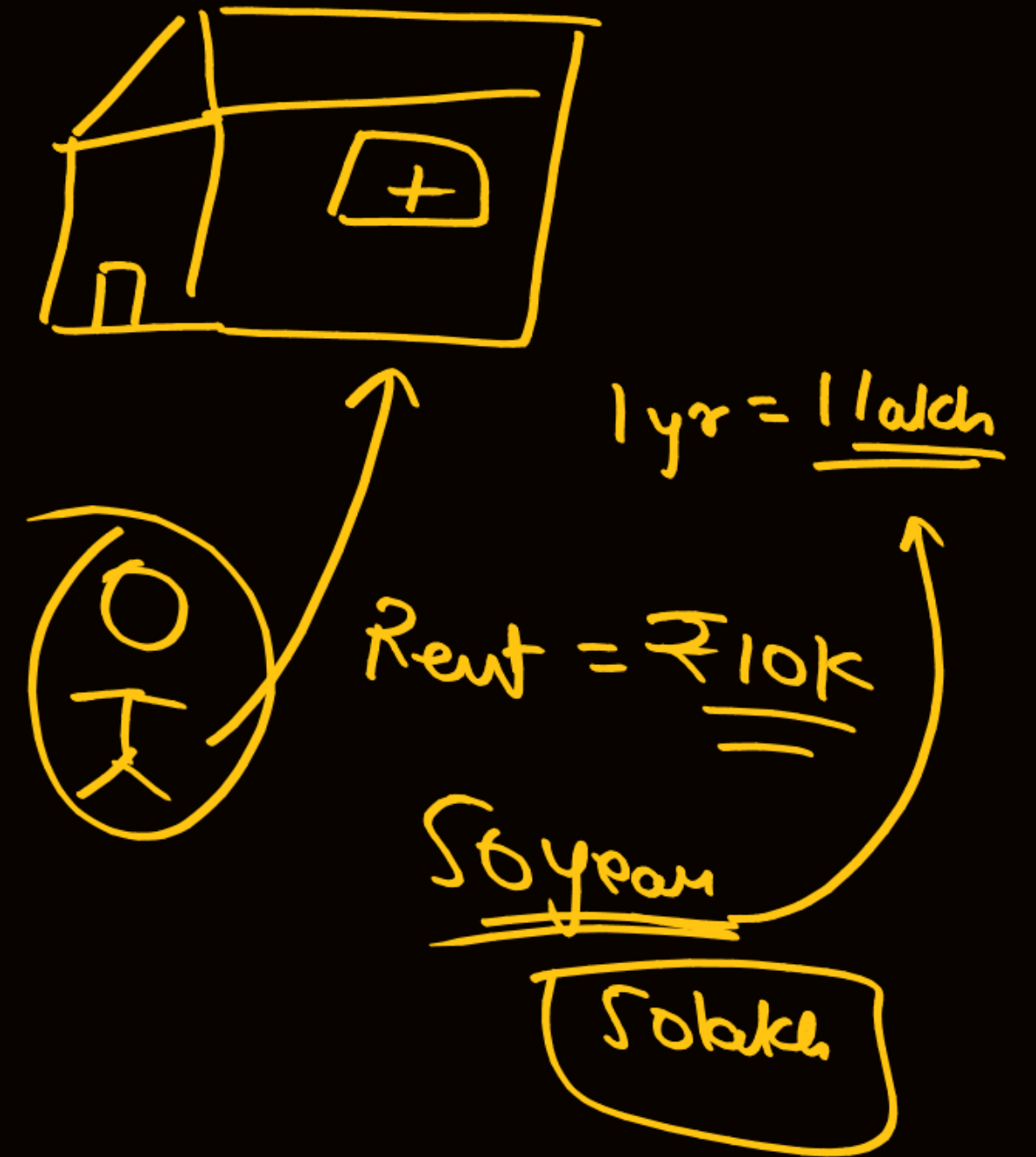
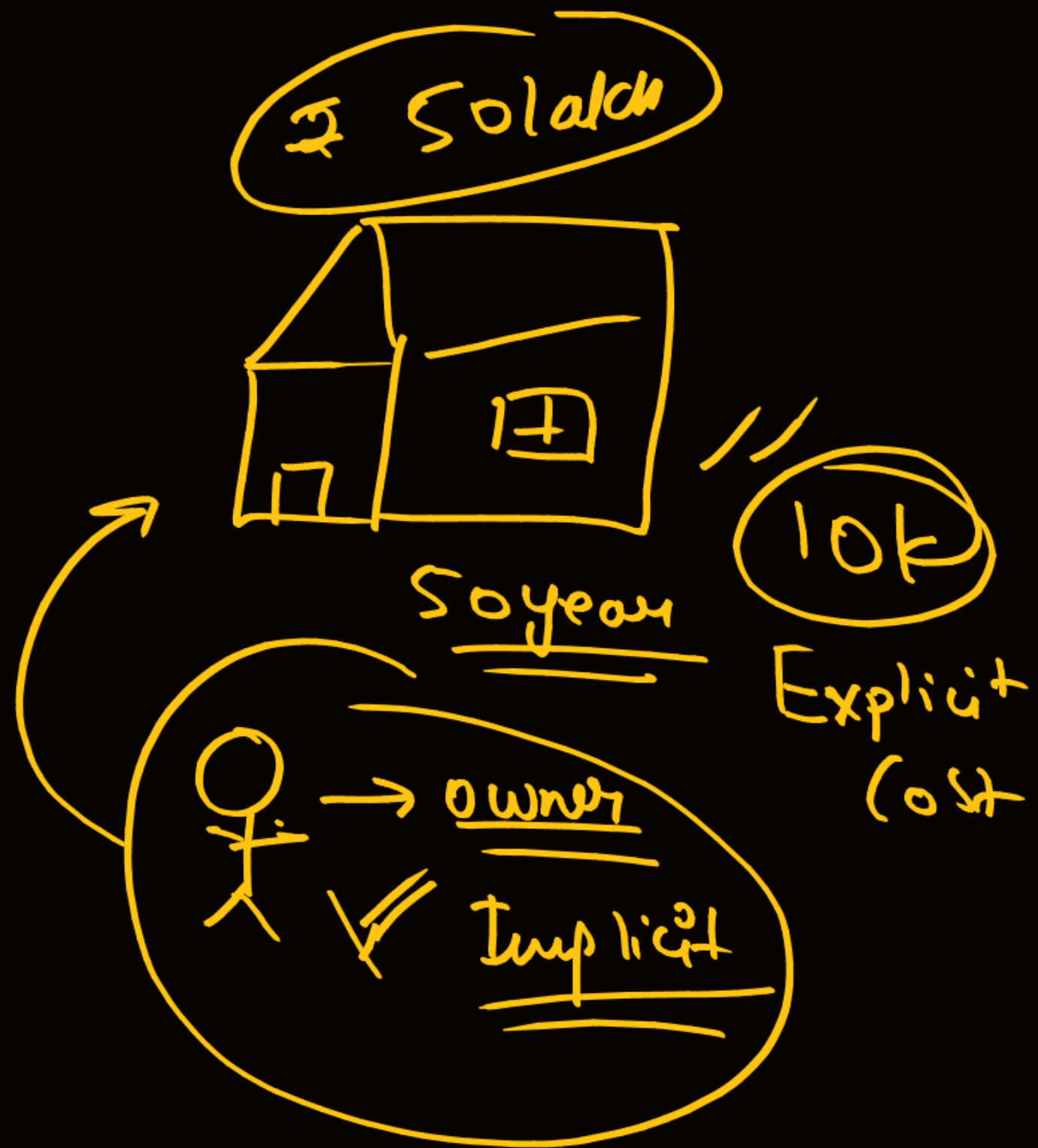


250k = Rent
per
Month

Explicit cost

Money =





MEANING OF COST

Explicit Cost

It is the actual money expenditure on inputs or payment made to outsiders for hiring their factor services.



Employees ₹ 10,000



Raw Material ₹ 2,00,000

Implicit Cost

It is the estimated value of the inputs supplied by the owners including normal profit.



Estimated rent = ₹50,000

EXPLICIT COST IMPLICIT COST

Basis	Explicit Cost	Implicit Cost
Meaning	It is the payment made to outsiders for hiring factor services.	It is the cost of self supplied factors.
Money Payment	It involves actual money payment on buying and hiring inputs.	It involves imputed value of factors owned by the firm. There is no money payment involved.
Example	Payment of wages, rent, insurance premium, etc.	Interest on capital, Rent of own land, etc.

For My Natu Saniiii Bhaiya

Hlo mere Natu Saniiii Bhaiya

Puri holidays me maine aapko bahut miss kiya. Meri school life ab khatam hone wali hai, aur sach kahun to aap jaise teacher mujhe kabhi nahi mile. 15 saal ki school life me teachers ke saath zyada yaadein nahi bani, lekin 10th se 12th tak ki memories, humara trio aur aap sab mere liye sabse special rahenge.

Aap bahut achha padhate ho aur hamesha motivate bhi karte ho. Jo teachers baar-baar target karte the, unke saamne sahi answer de paana bhi aapse hi seekha. Iske liye dil se thank you bhaiya.

Thank you for being a part of my life as my Sani Bhaiya. Luvvv uhh alottttt

Aur naan, maine aapko Instagram par message kiya tha, please reply kar dena. Meri ID prarambhianchavi hai.

Aur bhaiya, Suhani bhabhi ka face reveal kab kar rahe ho? Aur engagement ho gayi hai ya nahi, ye bhi bata dena... sab bahut doubt me hain.

I know my innocence is in the gutter, but each and every concept is clear like butter.

Thank you Sani Bhaiya

Forever and
with lots of love,
Your Kabootri,

Prarambhian Chavi

Thank you soo much Sani sir For teaching us

You are such a Kind and
sweet person
May God Bless You with Health
and Wealth

Aur Jain Saab kese hai ?
Unhe meri trf se Hello bolna

~Gursimran Kaur
12th Humanities
(Aapki Kabootari)



Happy guru purnima bhaiya

Sabse pehle Aapko thanku for everything we r so
blessed to have u hum bata bhi nhi skte love u dher sara
ek acha teacher hona bhagya h

pr aap logo k jesa teacher hona soubhagya hai
aapne book se to padhaya hi pr uske sath life lessons bhi diye h aap ko bohot
bada wala thanku so much we r very lucky

made by Himani

Thank you!

SANI BHAIYA

You don't just teach economics,
you make it
EASY, REAL & INTERESTING.



You **simplify** complex theories & concepts like a pro!



You help us connect the dots between theory & **real life.**



You explain with **patience, clarity** & amazing examples.



Thank you for believing in us & always **motivating** us to do better.

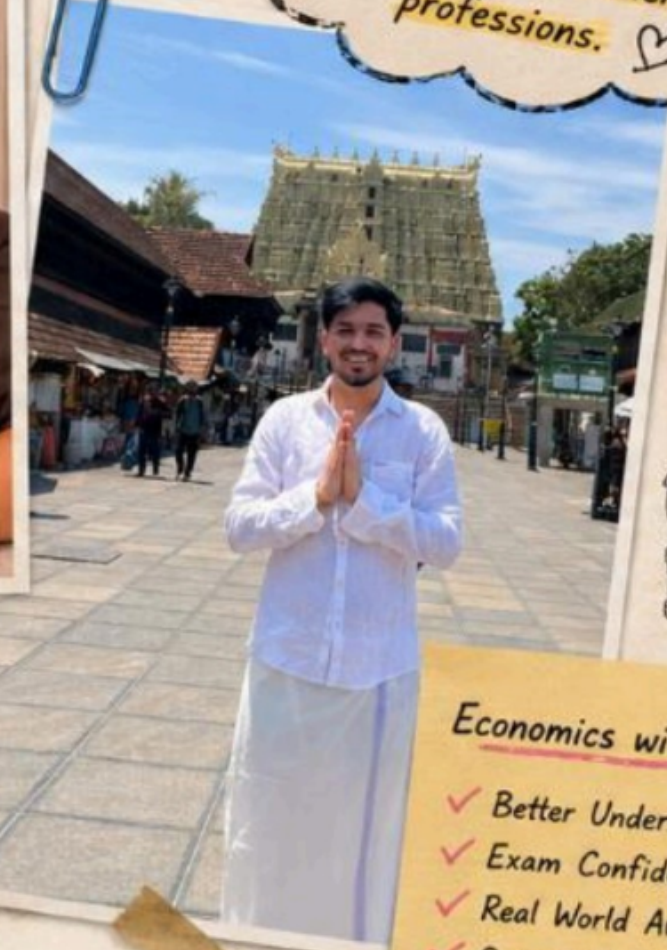


YOU MAKE
ECONOMICS
WORTH
LEARNING!

Best
Economics Teacher
Ever! ❤️



Teaching is the
one profession that
creates all other
professions. ❤️



Economics with you =

- ✓ Better Understanding
- ✓ Exam Confidence
- ✓ Real World Awareness
- ✓ Overall Growth 😊

Thank you for being more
than just a teacher, you're
a guide, a mentor &
a constant inspiration.

With lots of respect
& gratitude,

By Shalini

Economics
is not just
a subject,
it's a way
of **thinking.**

Thankyou for the class
..kabootars approved!!

When naatu bhaiya
really said "Puchhi
lelo" 🙈



Gashasui

TIME AT CURRENT PRICE & CON

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$\frac{a-p}{a} \times 100$



**THANK
YOU**

Stay Connected

KEEP LEARNING